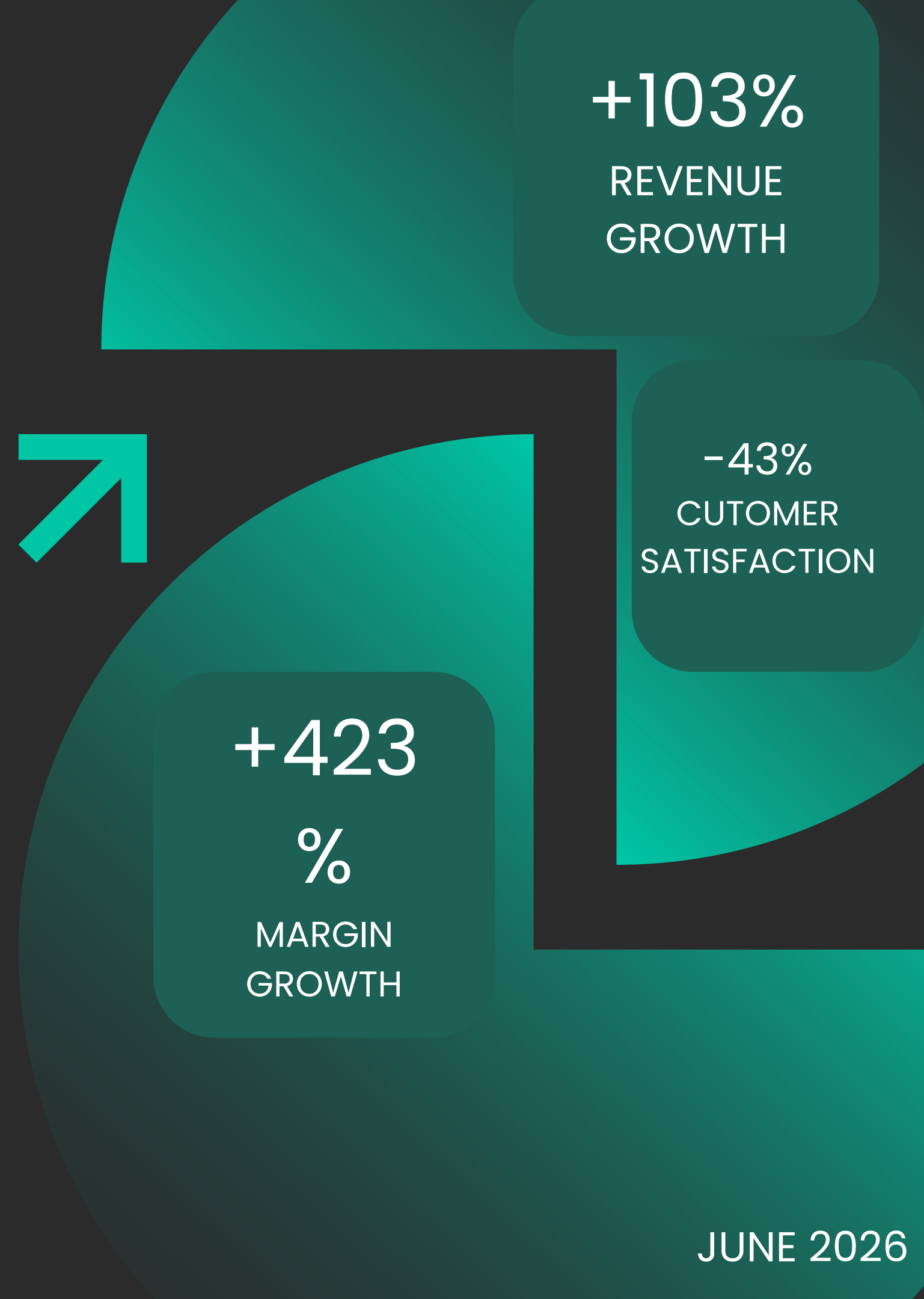


Dynamic Pricing Strategy in Ride-Hailing

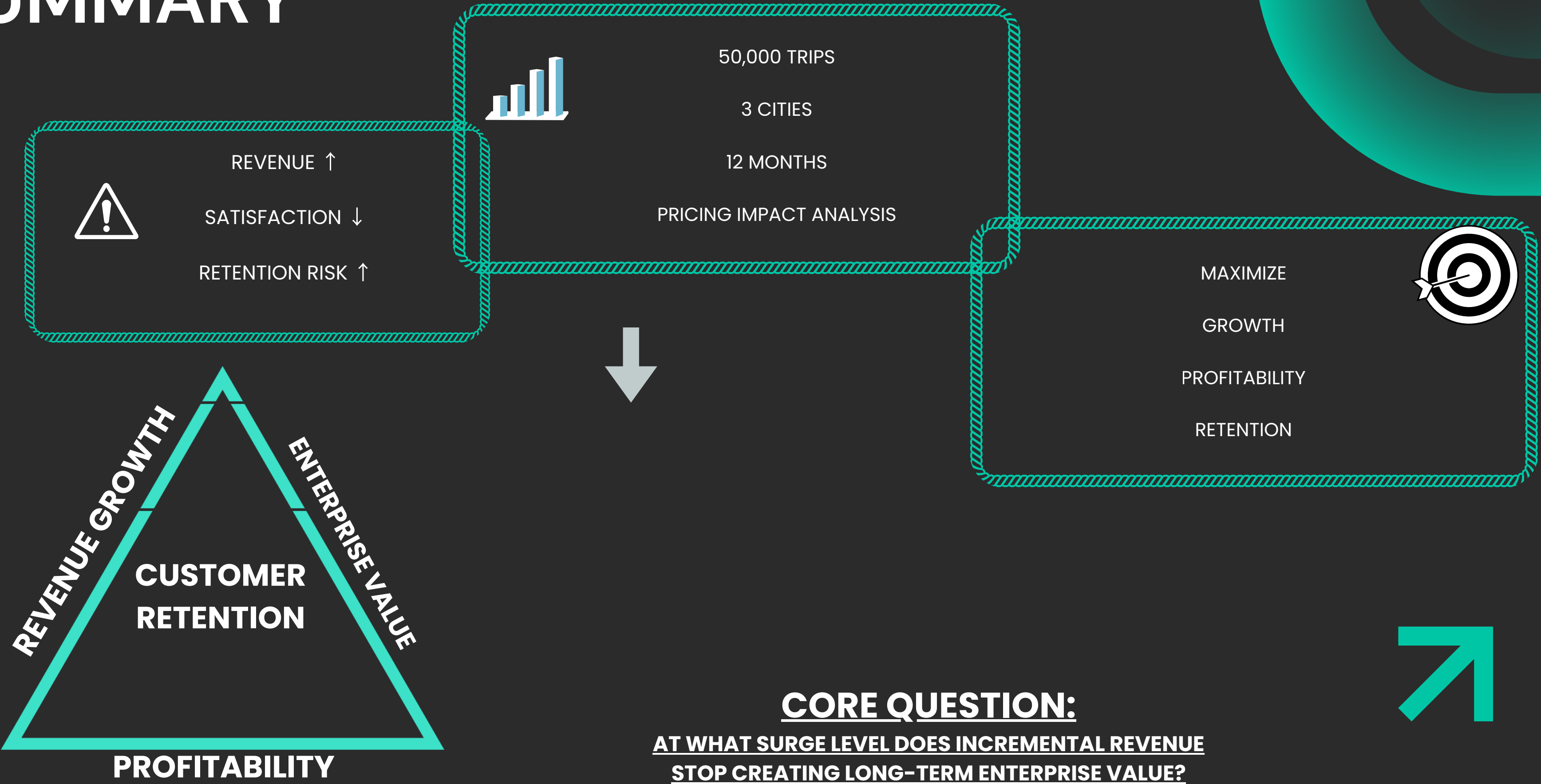
Balancing Revenue Growth,
Profitability & Customer
Retention

Piyush
B.Tech Mechanical Engineering
IIT Roorkee



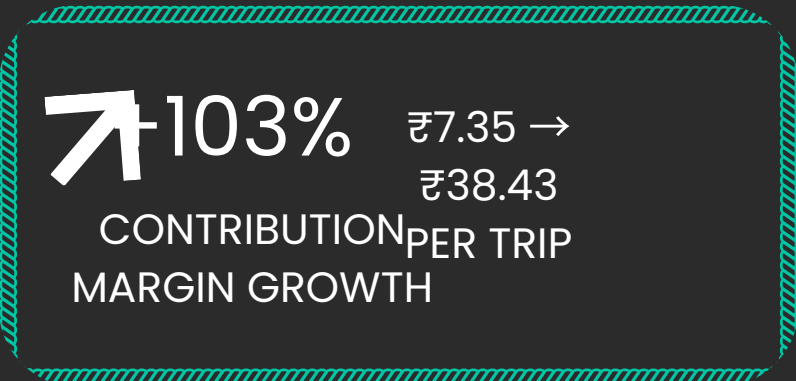
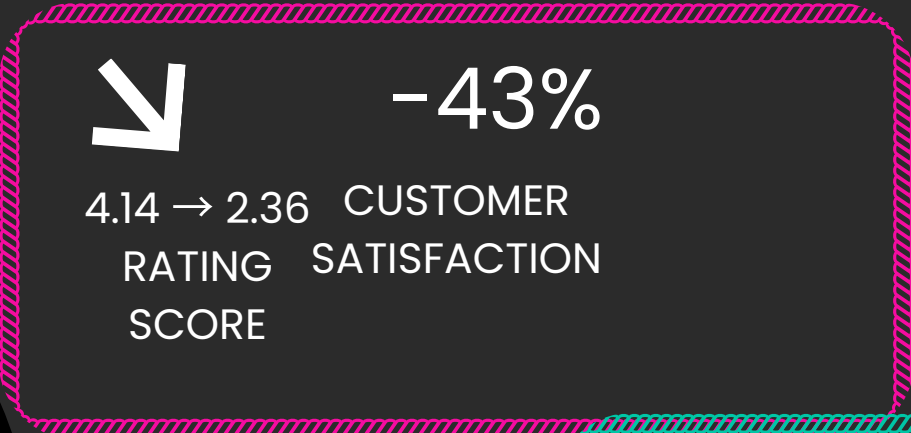
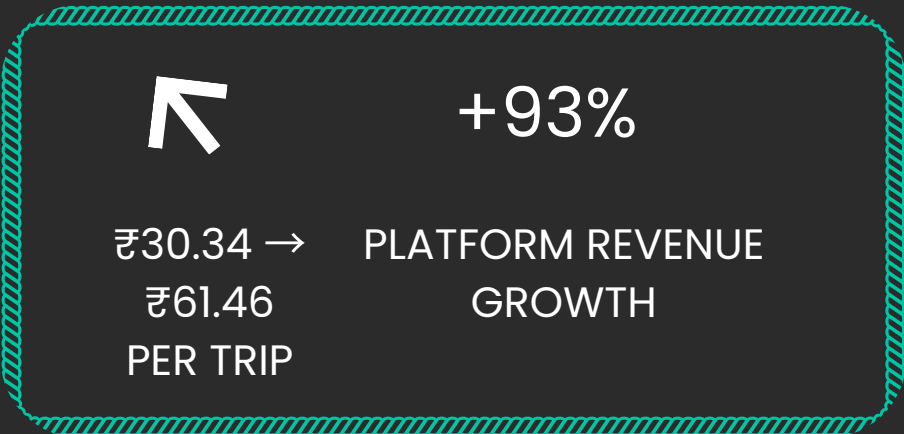
JUNE 2026

SITUATION SUMMARY



KEY ANALYTICAL FINDINGS

FOUR INSIGHTS DRIVE THE FINAL RECOMMENDATION



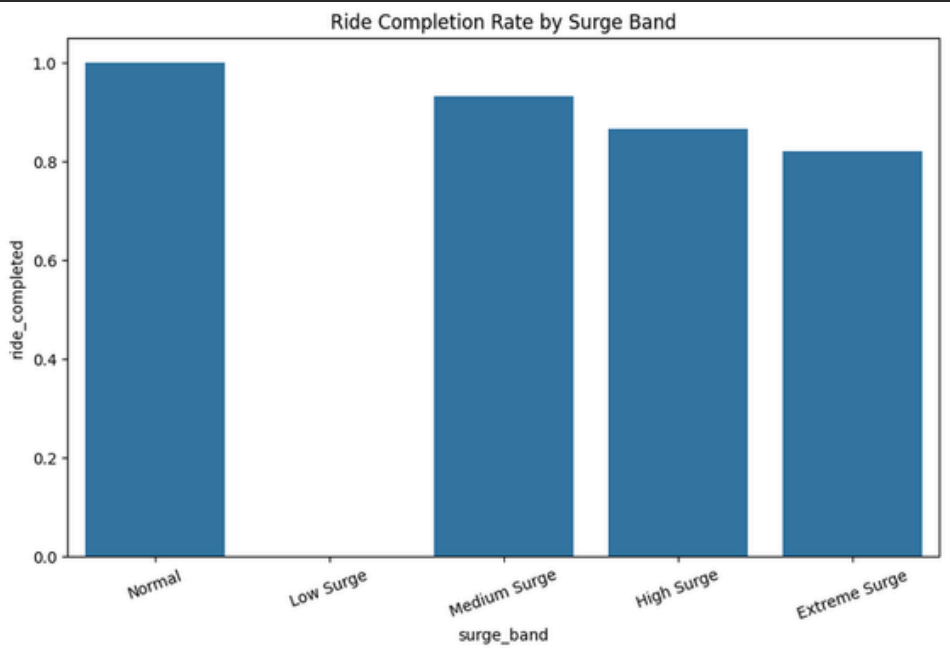
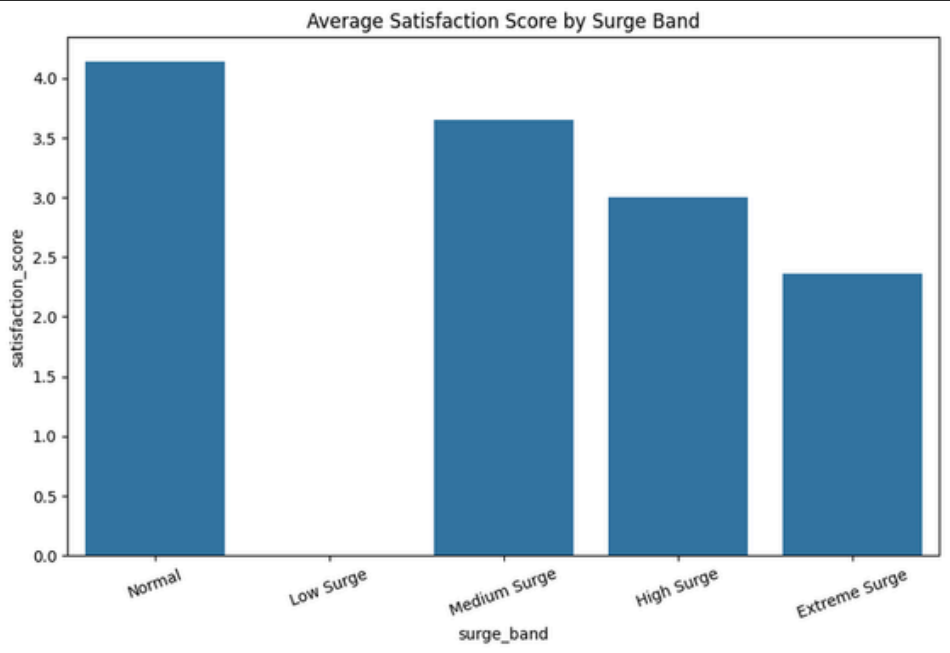
SURGE ↗

REVENUE AND MARGINS GROW,
BUT CUSTOMER SATISFACTION FALLS SHARPLY.

WHERE SURGE PRICING STARTS HURTING CUSTOMERS



WORKSTREAM 1: DEMAND SUPPRESSION & CUSTOMER RESPONSE



43%

DROP IN
CUSTOMER SATISFACTION

18%

DROP IN
RIDE COMPLETION

HIGH SURGE

CRITICAL THRESHOLD

CUSTOMER DETERIORATION ACCELERATES BEYOND HIGH SURGE LEVELS,
INDICATING THE BEGINNING OF DEMAND SUPPRESSION.



PRICE ELASTICITY & DEMAND SENSITIVITY



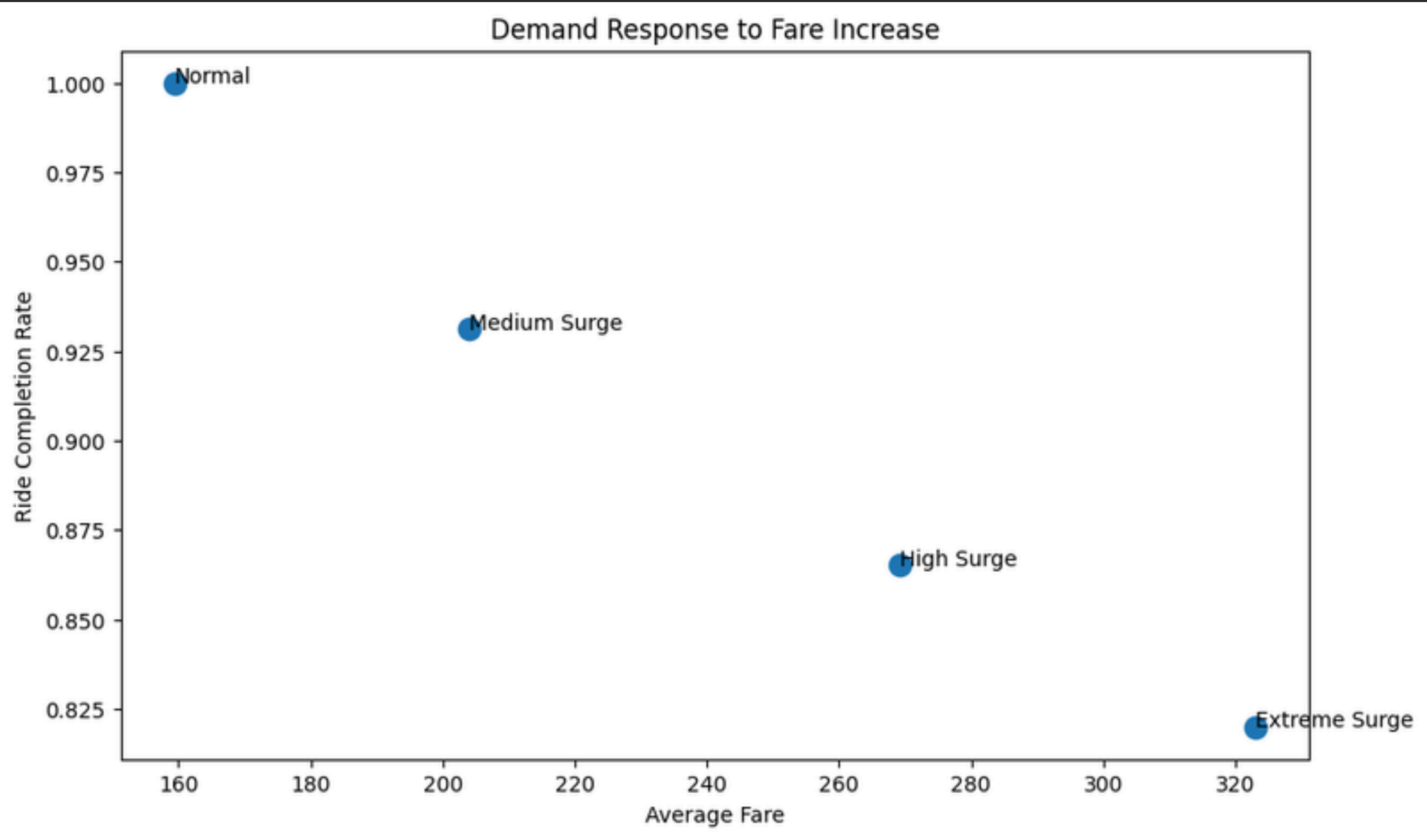
WORKSTREAM 2: MEASURING CUSTOMER
RESPONSE TO FARE INCREASES

ELASTICITY
CALCULATION

PRICE CHANGE %
VS
DEMAND CHANGE %

AVERAGE ELASTICITY

-0.24



+103%

DEMAND DECLINES
AS FARES RISE

ELASTICITY REMAINS
MODERATE RATHER
THAN SEVERE

REVENUE GROWTH
CUSTOMERS TOLERATE MODERATE FARE INCREASES
BUT DEMAND DETERIORATION ACCELERATES ONCE
SURGE LEVELS EXCEED THE HIGH SURGE THRESHOLD.

₹159
100%
COMPLETION

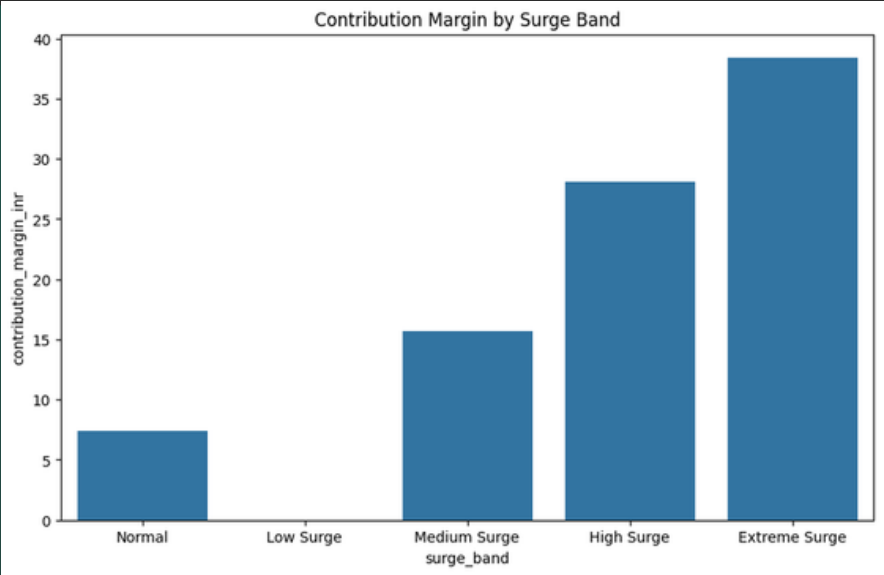
₹204
93%
COMPLETION

₹269
87%
COMPLETION

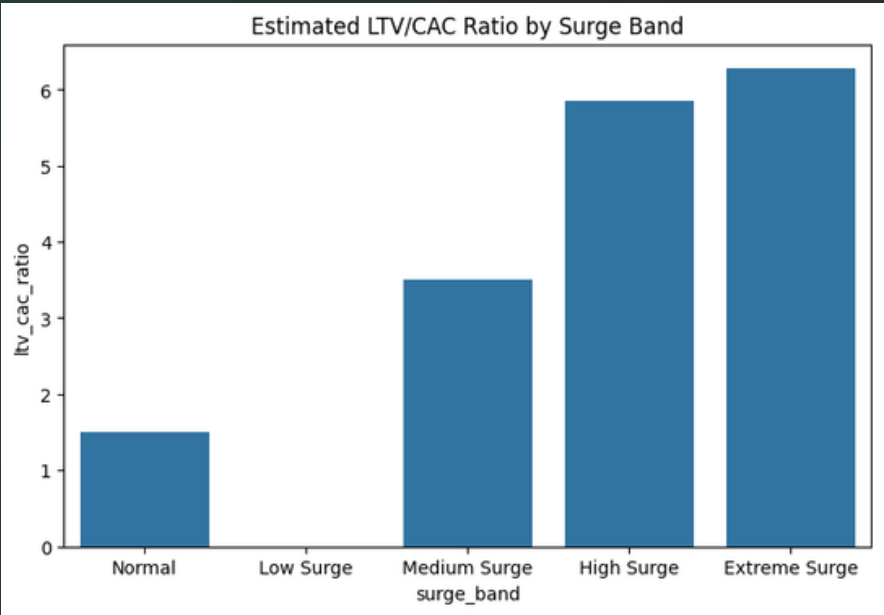
₹323
82%
COMPLETION

UNIT ECONOMICS & LONG-TERM VALUE CREATION

WORKSTREAM 3: DOES SURGE PRICING CREATE DURABLE GROWTH OR SHORT-TERM INFLATION?



KEY
NUMBERS



REVENUE ↑

103%

MARGIN ↑

423%

LTV/CAC ↑

318%

BREAKEVEN

CHURN ↑

5.2×
NORMAL: 1.50

MEDIUM: 3.50

HIGH: 5.85

EXTREME: 6.28

CONTRIBUTION MARGIN

₹7.35 → ₹38.43

(+423%)

PLATFORM
REVENUE

₹30.34 → ₹61.46

(+103%)

HIGHER SURGE



HIGHER FARE



HIGHER REVENUE



HIGHER MARGIN

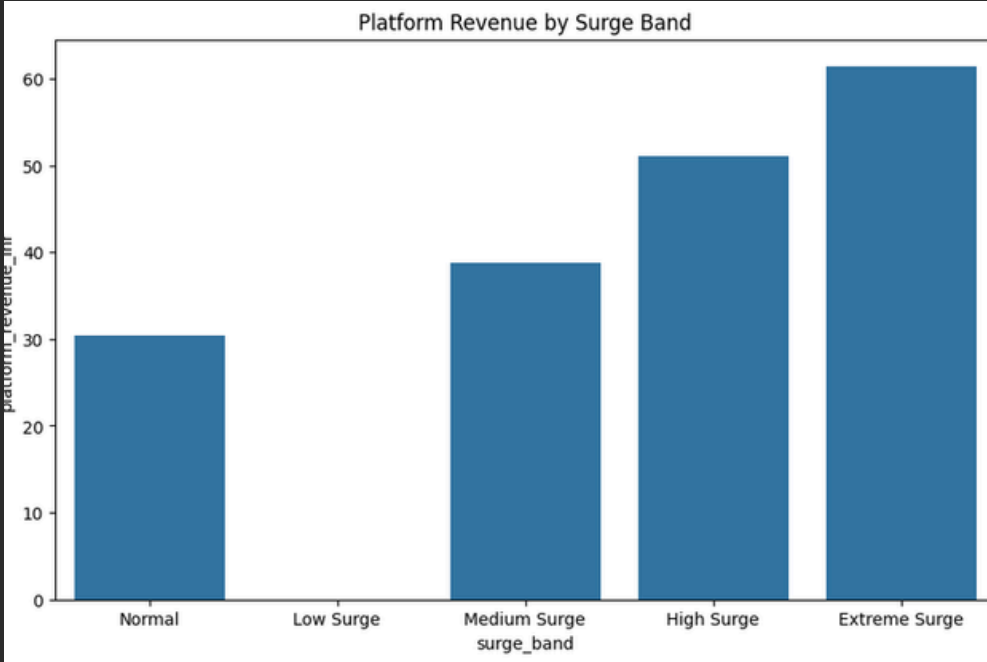


HIGHER

LTV/CAC

4.2× INCREASE
IN CUSTOMER
VALUE
EFFICIENCY

CURRENT CHURN
RISK REMAINS
WELL BELOW
BREAKEVEN
LEVELS.

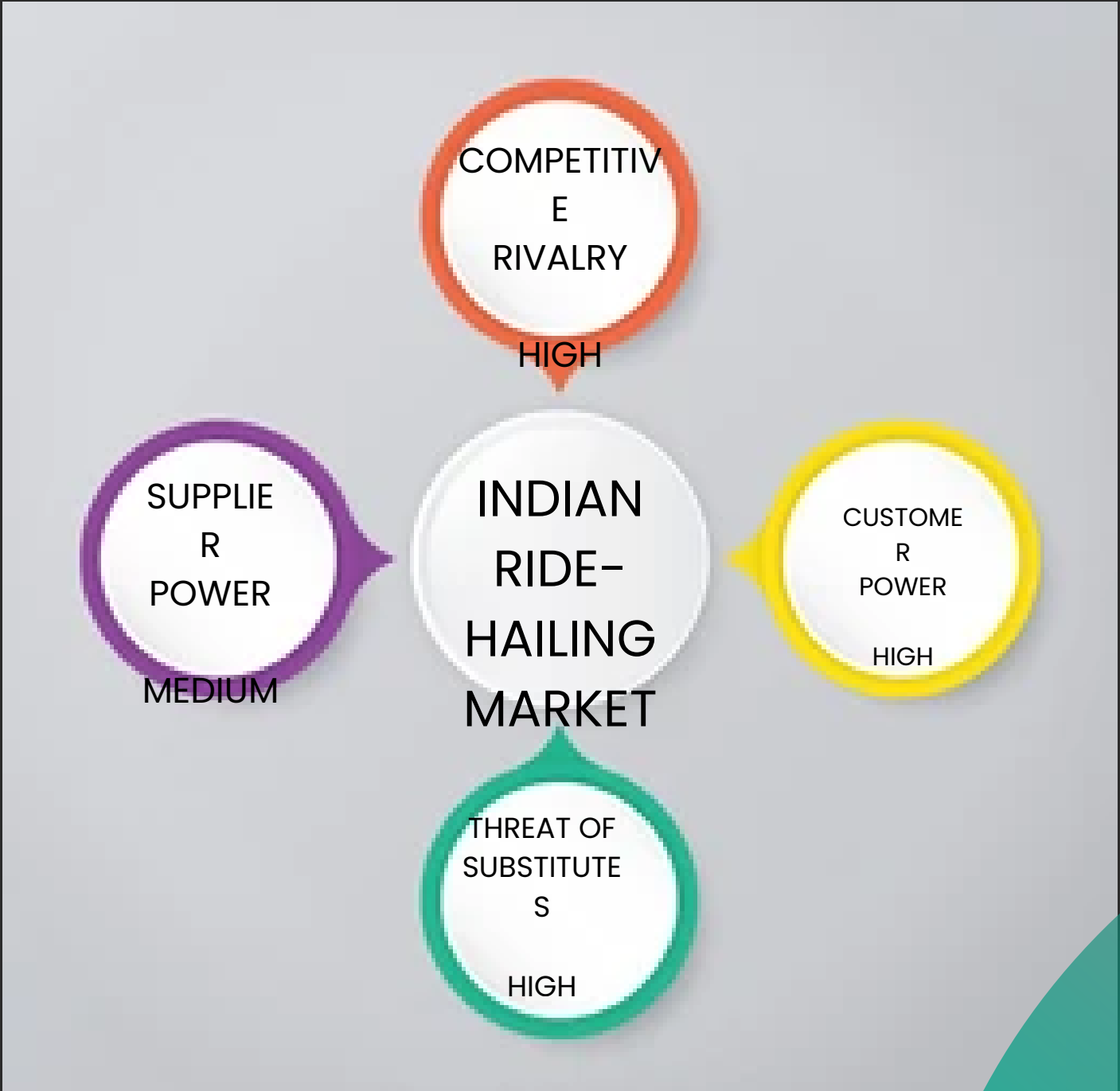


Surge Band	Breakeven Churn
Normal	1.96%
Medium	4.16%
High	7.48%
Extreme	10.27%

COMPETITIVE LANDSCAPE & MARKET PRESSURE



PORTER'S FIVE FORCES ASSESSMENT OF INDIAN RIDE-HAILING



COMPETITIVE IMPLICATION

EXTREME SURGE
PRICING CREATES
AN OPPORTUNITY FOR
COMPETITORS
TO ATTRACT
DISSATISFIED RIDERS.

SUSTAINABLE PRICING
IS THEREFORE
A STRATEGIC
ADVANTAGE, NOT
JUST
A CUSTOMER
EXPERIENCE
DECISION.

KEY FINDING

THE MARKET STRUCTURE REWARDS PRICING
DISCIPLINE
MORE THAN SHORT-TERM REVENUE
MAXIMIZATION.

STRATEGIC OPTIONS COMPARISON

EVALUATING ALTERNATIVE
PRICING STRATEGIES
FOR LONG-TERM ENTERPRISE
VALUE CREATION

Rank	Option
Rank #1	 Option 3 Retention-Focused Protection
Rank #2	 Option 2 Segmented Surge Governance
Rank #3	 Option 1 Calibrated Optimization

Decision Criteria	Option 1 Calibrated Optimization Fine-tune current surge model	Option 2 Segmented Surge Governance Zone-specific surge caps	Option 3 Retention-Focused Protection Loyalty-based surge protection
Revenue Impact	 High	 Medium	 High
Contribution Margin	 High	 Medium	 High
Customer Retention	 Medium	 High	 Very High
Customer Satisfaction	 Medium	 High	 Very High
Competitive Defense	 Moderate	 Strong	 Very Strong
Implementation Complexity	 Low	 Medium	 Medium
Investor Attractiveness	 Moderate	 Strong	 Very Strong
Overall Assessment	Short-Term Focused	Balanced	RECOMMENDED

OPTION 3 DELIVERS THE STRONGEST BALANCE BETWEEN PROFITABILITY, CUSTOMER RETENTION, COMPETITIVE RESILIENCE, AND INVESTOR ATTRACTIVENESS.

FINAL RECOMMENDATION

Recommended Pricing Strategy for Sustainable Enterprise Value Creation



EXPECTED IMPACT

- ✓ REVENUE MAINTAINED
- ✓ SATISFACTION IMPROVED
- ✓ RETENTION IMPROVED
 - ✓ LTV/CAC > 5
- ✓ STRONGER INVESTOR APPEAL



OPTION 1 LIMITATIONS

- ✓ STRONG REVENUE GROWTH
- ✓ STRONG MARGIN GROWTH
- ✗ CUSTOMER SATISFACTION RISK
- ✗ HIGHER RETENTION PRESSURE
- ✗ COMPETITIVE SWITCHING RISK



RECOMMENDED OPTION

OPTION 3

RETENTION-FOCUSED PRICING PROTECTION

- RETENTION-FOCUSED
PRICING PROTECTION
- ✓ BEST BALANCE OF GROWTH
AND RETENTION
- ✓ PRESERVES ECONOMIC
VALUE CREATION
- ✓ MINIMIZES LONG-TERM
CUSTOMER RISK

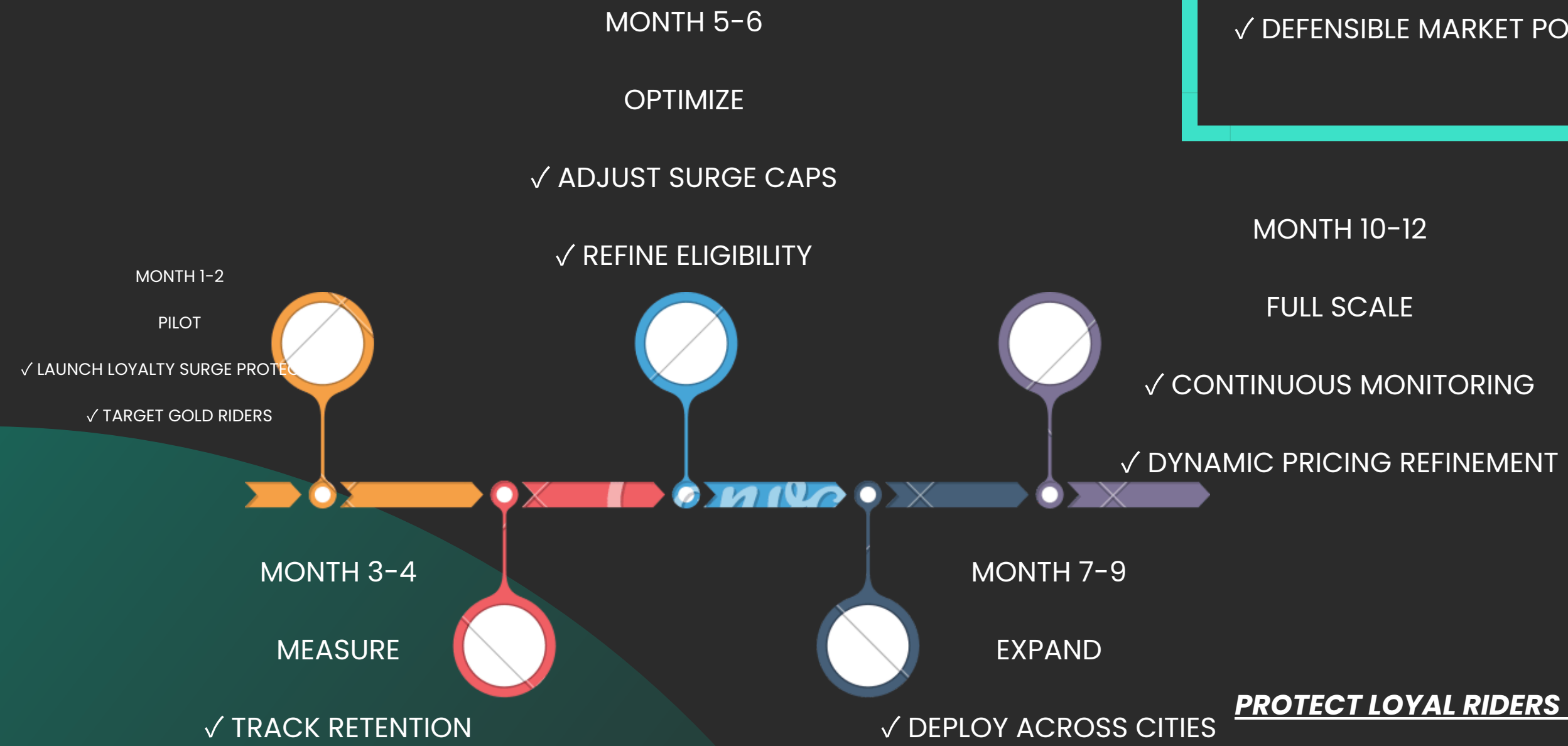


OPTION 2 LIMITATIONS

- ✓ IMPROVED CUSTOMER EXPERIENCE
- ✓ BETTER SURGE GOVERNANCE
- ✗ REDUCED REVENUE POTENTIAL
- ✗ LOWER MARGIN EXPANSION
- ✗ MORE OPERATIONAL COMPLEXITY

IMPLEMENTATION ↗ ROADMAP & INVESTOR OUTLOOK 🔍

EXECUTING SUSTAINABLE GROWTH THROUGH RETENTION-FOCUSED PRICING



18-MONTH INVESTOR NARRATIVE

- ✓ STRONGER CUSTOMER LOYALTY
- ✓ SUSTAINABLE REVENUE GROWTH
- ✓ IMPROVED ENTERPRISE VALUE
- ✓ DEFENSIBLE MARKET POSITION

KEY RISKS

- ✓ REVENUE DILUTION
- ✓ LOYALTY MISUSE
- ✓ OPERATIONAL COMPLEXITY

PROTECT LOYAL RIDERS • PRESERVE PROFITABILITY • DRIVE SUSTAINABLE GROWTH